own story, growing fifty-fold in two decades. Clearly, China's entry into WTO made a big difference, as indeed did the expanding demands of India's growth. The intensely competitive nature of the Indian market that puts such a premium on price points saw a natural value in imports from China. This applied in the case of infrastructure building, especially in power generation and telecommunications, where it was also supported by attractive financing.

The Indian system did not develop the requisite standards and regulations that should normally accompany the opening of an economy. It allowed Chinese goods in to the extent of hollowing out many sectors of its own industry. Unfortunately, at the other end, there was not even a semblance of reciprocity, even in sectors like pharmaceuticals and IT services where India has a global reputation. As a result, China's exports to India are more than four times what it imports from it.

The initial advocacy in India of more trade with China has now given way to strong resentment at its one-sidedness. It is no longer confined to policy circles but shapes the perception of industry and the public. This issue has also had a vitiating impact on larger discussions. It is, therefore, a challenge that cannot wait, either in itself or for its greater significance. There seem no ready answers, but this does not justify the unhappy status quo. The twin compulsions in India of externalizing and digitizing are likely to give these issues a much sharper edge in times to come.

The prospect of a deeper economic collaboration between India and China is a complicated one. On the one hand, two of the largest economies of the world could do more business with each other, especially taking into account supply chains. On the other, this is difficult to insulate from their basic socio-economic make-up. It is not that competitive sources cannot be used to expand trade or build infrastructure and other capacities. After all, China did that itself with Japan and the West. But the Indian controls are less effective and such cheap imports in fact undercut the growth of its domestic capacities. Nor has India shown the skills of China in absorbing technologies and creating its own. This will therefore remain a vexing issue for foreseeable future. Like the rest of the world, India too is finding it difficult to come to terms with a state capitalist model that has no precedent.